

GEREGU PLC

Model Summary | Discounted Cash Flow Analysis

5 July 2026 | Prepared for internal analytical use | Not a recommendation to buy, hold, or sell any security

1. COMPANY OVERVIEW

Geregu Plc is a 435MW gas-fired power generation company (Genco) based in Ajaokuta, Kogi State, supplying electricity to Nigeria's National Grid through the Transmission Company of Nigeria and selling output to the Nigerian Bulk Electricity Trading Plc under the sector's cost-reflective tariff framework. The plant runs three Siemens gas turbines and has operated since 2007, contributing roughly a tenth of the country's generated power. Geregu has been listed on the Main Board of the Nigerian Exchange since October 2022.

Control of the company changed hands on 29 December 2025, when Femi Otedola's Amperion Power Distribution Company completed the sale of its 77% interest to MA'AM Energy Ltd in a \$750 million transaction; the Board has stated that operational and governance continuity is unaffected. Sean Manley was appointed Interim CEO effective 2 February 2026, subject to regulatory approval and shareholder ratification.

2. FINANCIAL PERFORMANCE

Revenue grew 35% to ₦184.94 billion in FY2025 (FY2024: ₦137.13 billion), driven by upward revisions to the wholesale energy tariff and capacity charge rate, alongside naira depreciation applied to a partly dollar-linked gas cost base. EBITDA rose to ₦58.86 billion (FY2024: ₦47.92 billion) and operating profit reached ₦48.15 billion. Net profit was broadly flat at ₦27.25 billion (FY2024: ₦27.43 billion), as higher finance costs and tax expense absorbed the operating gains — a dynamic the model expects to persist while the bond and bank facilities amortize through FY2030.

The five-year forecast projects revenue reaching ₦314.68 billion by FY2030, driven by rising plant dispatch (load factor climbing from 72% to 78%), scheduled step-ups in the wholesale tariff and capacity charge, and a naira assumed to move from ₦1,350/\$ in 2026 to ₦1,750/\$ by 2030 against the dollar-linked gas price.

3. BALANCE SHEET & CAPITAL STRUCTURE

Geregu closed FY2025 with shareholder funds of ₦58.63 billion against total interest-bearing debt of ₦68.09 billion — a corporate bond and commercial bank facilities — a reported gearing ratio of 62%. Cash and equivalents stood at ₦31.85 billion. The bond and bank facilities amortize on a fixed schedule through the forecast, supplemented by a revolving facility that draws against, and sweeps down with, the Group's minimum cash buffer.

Working capital carries the structural signature of the Nigerian power sector's liquidity constraints: receivable and payable days both run in excess of 360 days across the forecast, reflecting extended settlement cycles between Gencos, NBET, and the Discos rather than a company-specific collections issue.

4. VALUATION METHODOLOGY

The model values Geregu on an unlevered free-cash-flow-to-firm (FCFF) basis, fully linked to the three-statement model: FCFF is built from EBIT less tax, plus depreciation, less capital expenditure and the change in net working capital, for each forecast year FY2026–FY2030. Cash flows are discounted at a WACC of 15.49%, built from a cost of equity of 19.07% — a Nigeria risk-free rate of 9.47%, a beta of 0.76 relevered against the global Power sector, and Nigeria's total equity risk premium of 12.64% — and an after-tax cost of debt of 12.41%, weighted at book value.

The risk-free rate, equity risk premium, country risk premium, and industry beta are all sourced from Aswath Damodaran's January 2026 data update. Terminal value applies a 9.47% perpetuity growth rate, set equal to the naira risk-free rate, consistent with Damodaran's principle that no firm can grow faster than the economy it operates in over the long run.

5. VALUATION OUTPUT

The model derives an Enterprise Value of ₦531.26 billion and an Equity Value of ₦495.02 billion, after bridging for FY2025A net debt of ₦36.24 billion. Against 2,509,372,139 shares outstanding, this implies a value per share of ₦197.27. Terminal value represents a substantial share of Enterprise Value, which is typical for a five-year explicit forecast at this WACC-to-growth spread, but it means the output is sensitive to both the terminal growth assumption and the normalization of FY2030 capital expenditure, which the model treats net of the plant's periodic major-overhaul spend.

6. KEY CONSIDERATIONS

Geregu currently trades on the Nigerian Exchange in the region of ₦ 917.40–1,140 per share, implying a market capitalisation of roughly ₦2.9 trillion — materially above the model's DCF output. Free float is limited to approximately 18% of shares in issue and average daily

trading volume is thin; the recent \$750 million change-of-control transaction further suggests the market price may embed scarcity and strategic value beyond what a standalone, minority-share cash flow valuation is designed to capture.

The cost of capital is sensitive to Nigeria's country risk premium, which the model holds at Damodaran's published level; a domestic-currency investor may reasonably apply a different country risk adjustment. This summary reflects the model's output as constructed and should be read alongside its full assumption set.

This document summarizes the outputs of an internal financial model prepared for analytical purposes. It does not constitute investment advice or a recommendation to buy, hold, or sell any security.